

Dollar drops may continue to prove short-lived and quite small in size as bond markets remain fragile and the Fed narrative hawkish. French premium isn't likely to leave the euro very soon, and risks remain of a test of 1.110 in the near term. In Canada, jobs numbers should have improved in September, but an October hike looks premature

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→ USD: Upside risks persist

The dollar lost a bit of ground yesterday as Treasuries took a breather, but we don't see signs of a broader USD correction brewing. US President Donald Trump has said the US won't attack Iran before the 3 November midterms, but the oil market is reluctant to price out the geopolitical premium that has kept prices above \$100/bbl despite improved Gulf supply.

Today, the focus in the US calendar is on the University of Michigan surveys. Inflation expectations are expected to tick higher, while the

sentiment indicator should edge lower. Susan Collins is the only Federal Reserve member due to speak after Alberto Musalem and Christopher Waller reiterated the need to raise rates further yesterday.

With global bonds and risk sentiment still looking fragile, and a hawkish Fed narrative keeping markets convinced of a December hike, we retain a preference for a slightly stronger dollar in the near term.

Francesco Pesole

→ EUR: Elusive recovery

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→ CAD: Improved jobs picture, but no October hike

Today, the Canadian jobs report for September is expected to show a partial rebound. Consensus sees payrolls at +10k after August's 42k contraction, and unemployment ticking higher to 6.5%.

The figures shouldn't scream 'October hike', but can definitely consolidate expectations for a move by the Bank of Canada in December, which is fully priced in.

The impact on the Canadian dollar shouldn't be big. CAD has lost around 3% in the past month against USD, but is still in the upper half of the G10 scorecard. US-Canada tensions have been put on the back burner by FX investors, and the USD remains totally dominant in USD/CAD. Improvement in global bond markets remains necessary for the pair to return sustainably below 1.420. The prospect of a Bank of Canada hike can lend some help only on the margin.

Francesco Pesole

📉 CEE: NBP waits a bit longer

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Elsewhere, as expected, the National Bank of Romania kept rates unchanged at 6.50%, and we did not see many new comments in the statement. We continue to monitor political negotiations in Romania. EUR/RON drifted lower yesterday following headlines, suggesting hope for a new government under technocratic leadership backed by the original coalition parties. Nevertheless, EUR/RON remains above 5.340 and significantly higher than the levels seen in late September, when pressure on the currency

began. Should a new parliamentary majority be formed, we expect EUR/RON to stabilise at current levels rather than seeing a leu rally.

Frantisek Taborsky

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